**16. Income taxes**

The total provisions for income tax expense (benefit) consisted of the following:

| (In thousands) | VI Acquisition | | | Midway |
|---|---|---|---|---|
| | Year ended November 5, 2005 | Year ended October 28, 2004 | Period ended October 26, 2003 | Period ended June 13, 2003 |
| Current: | | | | |
| Federal | $ 1,190 | $ 1,394 | $ 458 | $ (996) |
| State | 76 | 853 | (47) | (327) |
| | 1,266 | 2,247 | 411 | (1,323) |
| Deferred: | | | | |
| Federal | (1,262) | (4,394) | (1,548) | (1,289) |
| State | 134 | (765) | (98) | (527) |
| | (1,128) | (5,159) | (1,646) | (1,816) |
| Provision for income taxes (benefit) | $ 138 | $ (2,912) | $ (1,235) | $ (3,139) |



The following is a reconciliation of income taxes at the federal statutory rate to the Company's income tax expense (benefit):

| (In thousands) | VI Acquisition | | | | | | Midway | |
|---|---|---|---|---|---|---|---|---|
| | Year ended November 3, 2005 | | Year ended October 28, 2004 | | Period ended October 26, 2003 | | Period ended June 13, 2003 | |
| Income tax provision computed at statutory federal income tax rates | 1,261 | 35% | (1,903) | 35% | (636) | 35% | (2,295) | 35% |
| FICA tip tax credit | (1,147) | (32)% | (1,049) | 19% | (395) | 22% | (634) | 10% |
| Non-deductible costs | 14 | 0% | 18 | 0% | (41) | 2% | 623 | 10% |
| State income tax provision, net of federal benefit | 137 | 5% | 58 | (1)% | (94) | 5% | (556) | 8% |
| Other, net | (127) | (4)% | (36) | 1% | (69) | 4% | (277) | 4% |
| Income tax expense (benefit) | 138 | 4% | (2,912) | 54% | (1,235) | 68% | (3,139) | 48% |

The components of the net deferred tax assets (liabilities) were as follows:

| (In thousands) | November 3, 2005 | October 28, 2004 |
|---|---|---|
| FICA tax credit carryforwards | $ 13,870 | $ 11,820 |
| Alternative minimum tax credit carryforwards | 3,366 | 3,366 |
| Accrued insurance claims not yet deductible | 3,522 | 3,347 |
| Property and equipment | 1,264 | 4,867 |
| Investment | 2,754 | 2,760 |
| Leasing/financing transactions | 2,098 | — |
| Other | 1,682 | 3,146 |
| | $ 28,556 | $ 29,306 |
| Valuation allowance | (2,760) | (2,760) |
| Deferred tax assets, net of valuation allowance | $ 25,796 | $ 26,546 |
| Trademarks | (16,999) | (17,090) |
| Franchise rights | (4,296) | (4,557) |
| Leasing/financing transactions | — | (1,526) |
| Other | (60) | (60) |
| Deferred tax liabilities | $ (21,355) | $ (23,233) |
| Net deferred tax assets (liabilities) | $ 4,441 | $ 3,313 |
| | | |
| Deferred income taxes, short-term | $ 1,431 | $ 4,673 |
| Deferred income taxes, long-term | $ 3,010 | $ (1,360) |

The FICA tip credit is a general business income tax credit claimed by the Company for employer social security taxes paid on employee tips exceeding the amount treated as wages for minimum wage purposes. To the extent that the FICA tip credit is claimed, a business deduction for the FICA tax is not received for the FICA tax which is subject to the federal income tax credit. Any unused FICA tip credit may be carried back one year and forward 20 years (three-year carryback and 15-year carryforward for credits generated in tax years beginning before 1998). The alternative minimum tax credit carryforwards never expire.



Approximately $9.5 million of the FICA tip credit carryforwards were generated prior to the Company's acquisition in June 2003 and are subject to an annual use limitation of approximately $0.7 million. Of these credit carryforwards, $5.5 million may be carried forward up to 15 years with expirations in 2009 through 2013 and $4.0 million may be carried forward up to 20 years with expirations in 2019 through 2023. The remaining $4.0 million of FICA tip credit carryforwards were generated post-acquisition, are not subject to annual limitations and will expire in 2023 through 2025. Management believes that, based upon past historical and forecasted future taxable income, it is more likely than not that these carryforwards will be fully utilized before expiration. Annual taxable income of approximately $6.0 million would be necessary to fully utilize the credit carryforwards. Estimated taxable income for the fiscal year ended November 3, 2005 was $7.1 million.

The Company has established a valuation allowance of $2.8 million for the portion of its deferred tax asset related to an investment for which it is more likely than not that a tax benefit will not be realized. This investment arose from the sale of a subsidiary and in 1991 had been written-off for financial reporting purposes. While the Company believes that this investment will ultimately be written-off for tax purposes, it does not believe that it will generate sufficient capital gains to offset the capital loss.